Module -1

Overview of Indian Financial System

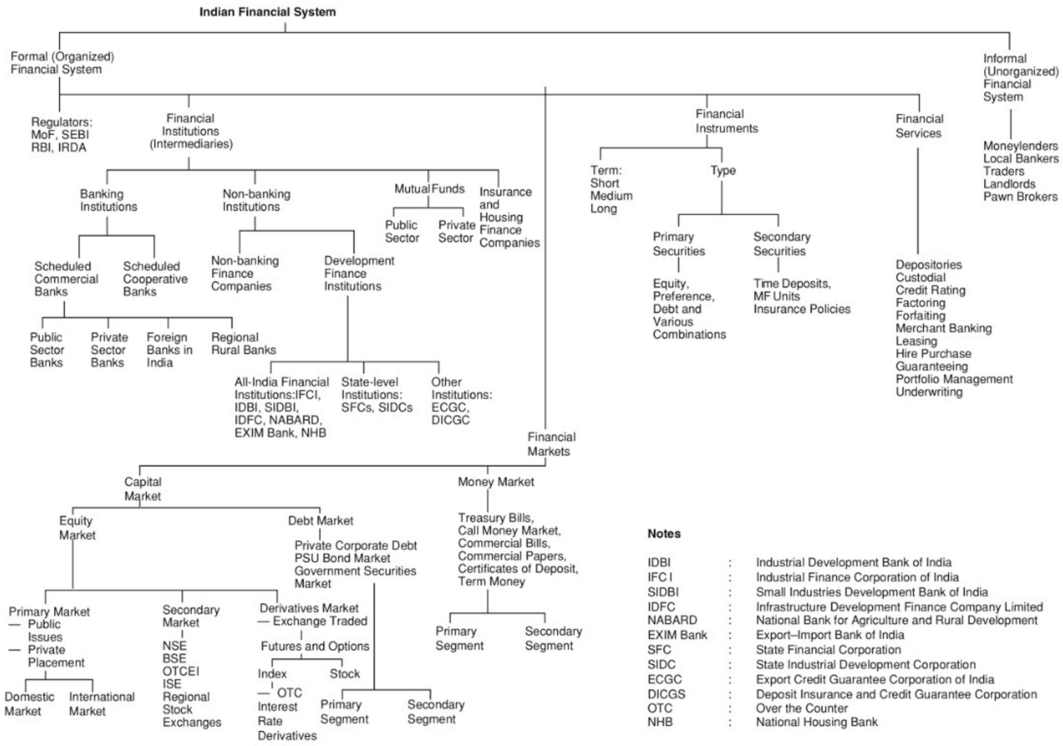

Figure 1.1 Indian Financial System

The term financial system is a set of inter-related activities/services working together to achieve some predetermined purpose or goal. It includes different markets, the institutions, instruments, services and mechanisms which influence the generation of savings, investment capital formation and growth.

The financial system is considered as most important institutional and functional vehicle for economic transformation. Finance is a bridge between the present and the future and whether it be the mobilization of savings or their efficient, effective and equitable allocation for investment, it is the success with which the financial system performs its functions that sets the pace for the achievement of broader national objectives.

The **Indian Financial System** refers to a set of institutions, markets, instruments, and services that facilitate the flow of funds between investors (savers) and borrowers (users) in an economy.

It plays a vital role in mobilizing savings, allocating capital efficiently, and supporting economic development.

Structure of Indian Financial System

The structure is broadly divided into **four major components**:

1. Financial Institutions

These are intermediaries that channel funds from savers to borrowers.

- **Banking Institutions**:
  - Examples: RBI, Commercial Banks (SBI, ICICI), Cooperative Banks
- **Non-Banking Financial Institutions (NBFIs)**:
  - Examples: LIC, UTI, NABARD, SIDBI

2. Financial Markets

These are platforms where financial instruments are bought and sold.

- **Money Market**: For short-term funds (less than 1 year)
  - E.g., Call money, Treasury bills
- **Capital Market**: For long-term funds (more than 1 year)
  - E.g., Stock market, Bonds, Debentures

3. Financial Instruments

These are tools or products used for borrowing and investing.

- Examples: Shares, Debentures, Bonds, Treasury Bills, Certificates of Deposit, Commercial Paper

4. Financial Services

These are services provided to facilitate financial transactions and investment decisions.

- Examples: Investment banking, Mutual funds, Credit rating, Leasing, Underwriting, Insurance

Functions of Indian Financial System

1. Mobilization of Savings

- Encourages individuals and institutions to save by offering attractive instruments and services.

2. Capital Formation

- Converts savings into investments, supporting entrepreneurship and infrastructure.

3. Facilitates Investment

- Channels funds from surplus units (savers) to deficit units (borrowers) efficiently.

4. Liquidity Provision

- Ensures availability of cash and near-cash instruments to investors.

5. Risk Management

- Offers instruments like insurance, hedging, and diversification to manage financial risks.

6. Efficient Allocation of Resources

- Allocates capital to the most productive sectors through financial markets.

7. Price Determination

- Helps in determining the prices of financial assets through demand and supply mechanisms in markets.

8. Promotes Economic Development

- By ensuring balanced growth of agriculture, industry, and services through efficient fund flow.

The Indian Financial System acts as the **backbone of the economy**, linking savings and investments, reducing transaction costs, ensuring transparency, and fostering national economic growth.

Investment Banking

Investment Banking is a special segment of banking that helps individuals and organizations to raise capitals or funds and provide consultancy services to them.

It's a method of controlling the flow of money or channeling cash from investors. They act as intermediaries between security issuers and investors and help new firms to go public. They either buy all the available shares at a price estimated by their experts and resell them to public or sell shares on behalf of the issuers and take commission on each share.

Investment banking is among the most complex financial mechanisms in the world. They serve many different purposes and business entities. They provide various types of financial services, such as proprietary trading or trading securities for their own accounts, mergers and acquisitions advisory which involves helping organizations in M&As; leveraged finance. that involves lending money to firms to purchase assets and settle acquisitions, restructuring that involves improving structures of companies to make a

business more efficient and help it make maximum profit, and new issues or IPOs, where these banks help new firms go public.

Let's understand how an investment bank earns money by providing acquisition advisories.

Think of company ABC buying another company XYZ. ABC is not sure how much company XYZ is really worth and what will be the long-term benefits in terms, of revenues, costs, etc. In this scenario, the investment bank will go through the process of due diligence to determine the value of the company, settle the deal by helping ABC prepare necessary documents and advising it on the appropriate timing of the deal.

Here the investment bank works on the buy side and some other investment banks may be working on the sell side to help XYZ. The bigger the deal size, the more commission the bank will earn.

Bank of America, Barclays Capital, Citigroup Investment Banking, Deutsche Bank, and JP Morgan are some of the largest investment banks in India:

Overview of Investment Banking in India

Before going into the nitty-gritty of investment banking in India, it's important to throw some light on the history of investment banking in India.

It all started in the 19th Century. During that period, European banks first established their trading industries in the land of India. Since that ancient time, foreign banks have taken the reign of investment banking in India. But that didn't last for a long time:

In the 1970s, State Bank of India started to spread its wings and created a bureau of merchant banking. And in the same decade, ICICI bank started offering various merchant banking services.

After a decade, banking became the thing of many and more than 30 merchant banks, financial institutions, and commercial banks started setting up their operations.

However, until the 1980s, banking didn't get the hype it deserved. In the 1990s, banking became an industry when more than 1500 bankers registered with SEBI (Securities and Exchange Board of India).

To regulate these huge numbers of banks, it was required to build an institution that will help banks adhere to the compliance and regulations. And that's how the Association of Investment Bankers of India (AIBI) got started.

The objective of AIBI is to regulate the legal and ethical practices among members and also to promote and encourage the expansion of the industry.

Under AIBI, now there are many banks and financial institutions are registered. Have a look at the following institutions which are registered under AIBI and have already made their name in the investment banking industry in India -

- Axis Bank Ltd.
- Barclays Bank PLC
- BNP Paribas
- Central Bank of India
- Morgan Stanley India Co. Private Ltd.
- Religare Capital Markets Ltd.
- SBI Capital Markets Ltd.

- SMC Capitals Ltd.

Services Offered by Investment Banks in India

There is a whole gamut of services offered by the investment banks in India. Following are top services that stand out -

- Mergers & Acquisition Advisory: Companies need to expand their market share and generate more revenue. Thus, they need to find a better opportunity to merge or acquire other companies that can help them reach their objectives. Investment banks in India help these companies make the right deals (mergers & acquisition deals) and help them make a prudent decision so that the ROI gets to a maximum and the risk becomes the least.
- Management of Capital Issues: Usually investment banks in India offer management of public issues under two methods fixed price method and book building method. They also offer IPO (Initial Public Offering), FPO (Follow on Public Offer), Preferential Issues, Rights Issue, QIP (Qualified Institutional Placement) and Debt Placement. The idea is to help the big organizations expand in the long run and to advise them on various strategies along the way.
- Debt Syndication: When a company is looking to finance new opportunities, they always don't have enough cash to go for it. However, if they talk to the investment bankers, they are able to help them with project finance, term loan, working capital loan, mezzanine financing, external commercial borrowing, etc. These services facilitate the public and private companies in tapping into the right opportunities at the right time and ensure solid growth.
- Buybacks/Takeovers: Investment bankers in India advise their clients to buy back their shares at the right time. Moreover, they also help them do their due diligence, find out the target company, and facilitate in understanding whether the takeovers are necessary. They also help the companies adhere to compliances and regulations as per SEBI.
- Corporate Advisory: Investment bankers in India offer corporate advisory to various companies, especially to giant companies and corporate bodies. As corporate advisory is a huge area, first they understand the needs of the companies and then offer tailor-made services. They start with business appraisals, and then the investment banks in India help the companies develop a business plan. Once the business plan is developed, they go for strategic project advisory. And then they also help companies with a business valuation, project identification, and corporate restructuring.

Various roles as an Investment Banker: You can work as an investment banker in different capacities which are discussed below-

1. Underwriting is one of the primary functions of investment banks which helps in raising capital for companies and governments through the issuance of equity, and debt.
2. You can work in the Mergers and Acquisition (M&A) department, which gives strategic guidance to companies to merge or acquire another company: They advise buyers and, sellers on business valuation, pricing and structuring of a transaction, negotiation, and implementation. These people possess a specialized skill to make sure that such deals really make sense and is viable for the company in the long run:

3. Private Equity is one of the most prestigious jobs in today's time. It involves investment in asset class comprising of debt and equity in companies which are not listed on the stock exchange. Some of the popular private equity firms include KKR' and Blackstone.
4. Venture Capital shares similarity with private equity firms, but the only difference is that they provide capital to startup companies while private equity deals with established firms. Becoming a venture capitalist requires a special set of skills as their role involves picking companies which are at the nascent stage but have huge potential going forward. The chances of failure are very high for most of the companies, but few winners are enough to outweigh a large number of losers.
5. Equity research is one of the important arms of Investment Banking career. They come with buy and sell side research which helps to facilitate the trading of securities. Their reports are usually meant for internal use, but they may sell it to hedge funds or mutual fund managers so as to generate additional revenue.
6. Some firms also engage in proprietary trading. It's a trading desk which gives a platform to the traders to trade in different securities like equity, bonds, currencies or commodities with firm's own money as compared to the depositor's money.
7. They also play the role of Asset Management company where they manage huge portfolios for their clients including insurance companies, pension funds, etc. They help their clients in achieving their goals using the right mix of various instruments like equity, bonds, real estate etc in their portfolio.

Though an investment banking career is a prestigious job and can fetch you a good payoff, make sure you are ready for the intense competition to get into it and also ready to work for long hours.

INSTITUTIONAL STRUCTURE AND FUNCTIONS OF MERCHANT BANKING

Institutional Structure

In tracing the history of the merchant banking in India, the structure of merchant bankers appeared as follows at one point of time:

1. Merchant banking divisions of commercial banks, both Indian and Foreign.
2. Merchant banking divisions of financial institutions (e.g. IDBI, IFCI, etc.)
3. Merchant banking companies promoted by stock broking firms. (e.g. JM Financial, DSP)
4. Merchant banking services of NBFCs. However, the above structure has undergone a transformation now. The merchant banking divisions of the commercial banks exist now as independent subsidiary companies of the parent firms. For example, the SBI Capital Markets Ltd is the subsidiary of SBI. The merchant banking activities of the NBFCs almost cease to exist.

Merchant Banking

A merchant bank is a firm or the financial institution providing capital to the companies in the form of share ownership instead of loan. Merchant bank also work as a consultancy and provide advisory on corporate matters to firm in which they invest, these banks are experts in international trade, which makes them pundit in dealing with multinational corporation. Merchant bankers helps firms or companies in raising finance by way of issue of a share, bank loans, debenture etc. merchant bank do not provide financial service to normal public.

Merchant Banking is a combination of Banking and consultancy services.

- It provides consultancy, to its clients, for financial, marketing. managerial and legal matters.
- Consultancy means to provide advice, guidance and service for a fee.
- It helps a businessman to start a business.
- It helps to raise (collect) finance.
- It helps to expand and modernise the business.
- It helps in restructuring of a business.
- It helps to revive sick business units.
- It also helps companies to register, buy and sell shares at the stock exchange.
- In short, merchant banking provides a wide range of services for starting until running a business.
- It acts as Financial Engineer for a business.

According to SEBI, "a merchant banker is one who is engaged in the business of issue management either by making arrangements regarding selling, buying or subscribing to the securities as manager, advisor or rendering corporate advisory services in relation to such issue management":

Functions of Merchant Banker

A merchant banker is not merely an issue manager.

The scope of his activities extends beyond issue management

He undertakes new responsibilities such as syndication of project financing, global fund raising, designing new financial instruments and deal making in corporate takeovers.

From dealing in shares for major industrial houses to takeovers, the merchant bankers have come a long way in the spectrum of services that are offered.

Their operations have considerably widened and have become more specialized. The following are the functions of merchant bankers in India:

Functions of MB:

1. Managing Public Issue of Companies: Merchant bank advice and manage the public issue of companies. They provide following services:
   a. Advise on the timing of the public issue.
   b. Advise on the size and price of the issue.
   c. Acting as manager to the issue, and helping in accepting applications and allotment of securities.
   d. Help in appointing underwriters and brokers to the issue.
   e. Listing of shares on the stock exchange, etc.
2. Management of Interest and Dividend: Merchant bankers help their clients in the management of interest on debentures/loans, and dividend on shares. They also advise their client about the timing (interim/yearly) and rate of dividend.
3. Project Management: Merchant bankers help their clients in the many ways. For eg. advising about location of a project, preparing a project report, -conducting feasibility studies, making a plan for financing the project, → finding out sources of finance, advising about concessions and incentives from the government

4. Portfolio Management: - A merchant bank manages the portfolios (investments) of its clients. This makes investments safe, liquid and profitable for the client. It offers expert guidance to its clients for taking investment decisions.
5. Raising Finance for Clients: Merchant Banking helps its clients to raise finance through issue of shares, debentures, bank loans, etc. It helps its clients to raise finance from the domestic and international market. This finance is used for starting a new business or project or for modernization or expansion of the business.
6. Revival of Sick Industrial Units: Merchant banks help to revive (cure) sick industrial units. It negotiates with different agencies like banks, term lending institutions, and BIFR (Board for Industrial and Financial Reconstruction). It also plans and executes the full revival package.
7. Special Assistance to Small Companies and Entrepreneurs: Merchant banks advise small companies about business, opportunities, government policies, incentives and concessions 'available. It also helps them to take advantage of these opportunities, concessions, etc.
8. Services to Public Sector Units: Merchant banks offer many services to public sector units and public utilities. They help in raising long-term capital, marketing of securities, foreign collaborations and arranging long term finance from term lending institutions.
9. Corporate Restructuring: It includes mergers or acquisitions of existing business units, sale of existing unit or disinvestment. This requires proper negotiations, preparation of documents and completion of legal formalities. Merchant bankers offer all these services to their clients.
10. Handling Government Consent for Industrial Projects: A businessman has to get government permission for starting of the project. Similarly, a company requires permission for expansion or modernization activities. For this, many formalities have to be completed. Merchant banks do all this work for their clients.
11. Advice on Expansion and Modernization: Merchant bankers give advice for expansion and modernization of the business units. They give expert advice on mergers and amalgamations, acquisition and takeovers, diversification of business, foreign collaborations and joint-ventures, technology up gradation, etc.
12. Broker in Stock Exchange: Merchant bankers act as brokers in the stock exchange. They buy and sell shares on behalf of their clients. They conduct research on equity shares. They also advise their clients about which shares to buy, when to buy, how much to buy and when to sell. Large brokers, Mutual Funds, Venture capital companies and Investment Banks offer merchant banking services.
13. Underwriter/Money Market Operation: Merchant bankers deal with and underwrite short-terrh money market instruments, such as:
    a. Government Bonds.
    b. Certificate of deposit issued by banks and financial institutions.
    c. Commercial paper issued by large corporate firms.
    d. Treasury bills issued by the Government (Here in India by RBI).
14. Leasing Services: Merchant bankers also help in leasing services. Lease is a contract between the lessor and lessee, whereby the lessor allows the use of his specific asset such as equipment by the lessee for a certain period. The lessor charges a fee called rentals.

Merchant bankers in India: There are 135 merchant bankers in India who are registered with SEB. In India it includes private sectors, public sector and foreign players, some of them are:

Private Sector merchant banking

- Bajaj Capital Ltd.
- ICICI Securities
- Tata Capital Market Ltd.
- ICICI Bank Ltd.
- Reliance Securities Ltd.
- Kotak Mahindra Capital Ltd.
- Yes Bank Ltd.
- Axis Bank (Formerly UTI Bank Ltd.)

Public companies

- State Bank of India (SBI Capital Markets Ltd – SBICAP)
- IDBI Capital Markets & Securities Ltd
- Punjab National Bank Investment Services Ltd (PNBISL)
- Indian Bank Merchant Banking Services
- Bank of Baroda Capital Markets Ltd (BOBCAPS)
- IFCI Ltd

Investment Banks vs. Merchant Banks: An Overview

Investment banks and merchant banks are different types of financial institutions. These banks do not serve consumers individual clients or small and mid-sized businesses. Some of the services they provide are the same including underwriting and investment services. But the fine line that theoretically separates the functions of these two institutions tends to blur, as the activities often bleed into one another's territories. Investment banks conduct trade finance activities while merchant banks take part in international finance and underwriting activities.

Merchant banks lend their services to international finance, business loans for companies, and underwriting.

Investment banking is usually fee or fund-based, providing a wider variety of services to its clients.

Merchant banks help companies and high-net-worth individuals.

Investment banking clients include institutional investors, governments, and corporations.

Investment Banks

Investment banks are institutions that serve as intermediaries for a variety of purposes. Their activities, usually vary from one institution to another. Most of the services in which they engage tend to be large and complex financial transactions. Investment banking clients are normally governments and other financial institutions as well as institutional clients such as hedge funds, pension funds, and large companies.

Pure investment banks are chiefly responsible for raising funds for businesses, governments, and municipalities by registering and issuing debt or equity and selling these investments on an open market through initial public offerings (IPOs). Investment banks

traditionally underwrite and sell these securities in large blocks. Small boutique investment banking firms may narrow their focus to a small area of expertise. They also facilitate mergers and. acquisitions (M&A) of companies through share sales and provide research and financial consulting to companies.

Investment banks may be fee-based because they provide banking and advisory services. They may also be fund-based because they can earn income from interest and other leases from their clients.

Some of the world's best-known and biggest investment banks include Barclays (BCS), UBS (UBS), and Credit Suisse (CS). Many of these banks also operate smaller retail and commercial branches for the general public.

While investment banks focus on larger companies, merchant banks offer their services to corporations that are too large for venture capital firms but small enough to make a compelling public share offering on a large exchange.

Merchant Banks

Just like investment banks, the precise list of offerings differs depending on the merchant bank in question. Interestingly, the term merchant bank was the British term used to describe investment banks.

Merchant banks don't deal with the general public, so they don't take deposits or make withdrawals. Instead, they serve high-net-worth individuals (HNWIs) and multinational corporations. Some of their primary functions include international financing and underwriting activities. These may include-but aren't limited to foreign corporate investing, foreign real estate investment, trade finance, and the facilitation of international transactions.

Merchant banks may be involved in issuing letters of credit, internationally transferring funds, and consulting on trades and trading technology. These banks earn money from fees because they provide advisory and other related services to their clients.

Several of today's leading merchant banks include J.P. Morgan (JPM), Goldman Sachs (GS), and Citigroup (C).

Key Differences

There's a fine line between merchant and investment banks. While both operate within the financial realm, there are some key overall distinctions. As a general rule, investment banks focus on IPOs and large public and private share offerings. Merchant banks tend to focus on small-scale companies by offering creative equity financing, bridge financing, mezzanine financing, and a number of highly delineated corporate credit products.

In order to bridge the gap between venture capital and a public offering, larger merchant banks tend to privately place equity with other financial institutions and, in the process, often take on large portions of ownership.in companies they believe exhibit strong balance statements, solid fundamentals, and strong growth potential.

While merchants offer trade financing products to their clients, investment banks rarely do so because most investment banking clients have outgrown the need for trade financing and the various credit products linked to it.

While investment hanks mainly service large companies such as major mutual fund houses, they can also provide consulting services to private investors through their private

wealth management and private client services divisions. The research provided typically contains buy, sell, and hold ratings on various stock investments. Merchant banks provide services to corporations and high-net-worth individuals who typically have businesses around the world.

SEBI Guidelines for Merchant Bankers

Meaning of Merchant Banking

Merchant banking refers to services related to corporate finance, such as underwriting corporate securities, advising on mergers, and arranging funding through financial institutions, rather than providing funds directly. A merchant banker can be a bank, firm, company, or proprietary concern.

SEBI Guidelines

As per SEBI (Merchant Bankers) Rules, 1992, a **merchant banker** is anyone involved in issue management, including the sale, purchase, or subscription of securities, or acting as an advisor, consultant, or manager in such issues.

Guidelines for Merchant Banking

To operate as a merchant banker in India, registration with SEBI is mandatory. The applicant must:

1. Be a corporate body.
2. Not engage in any business other than those related to the securities market.
3. Have necessary infrastructure (office, equipment, staff).
4. Employ at least two experienced employees in merchant banking.
5. Not be associated with any company already registered as a merchant banker.

SEBI (Merchant Bankers) Regulations, 1992

Merchant bankers are categorized into four groups based on their permitted functions:

- **Category I**: Allowed to manage issues, act as advisor, consultant, manager, underwriter, and portfolio manager.
- **Category II**: Allowed to act as advisor, consultant, co-manager, underwriter, and portfolio manager.
- **Category III**: Permitted to act as underwriter, advisor, or consultant.
- **Category IV**: Can act only as advisor or consultant.

Capital Adequacy Norms:

- Category I: ₹1 crore (raised to ₹5 crores in 1995)
- Category II: ₹50 lakhs
- Category III: ₹20 lakhs
- Category IV: No requirement

Since **9 December 1997**, only **Category I** merchant bankers are permitted.

Other Regulatory Requirements:

- Maintain financial records and submit unaudited half-yearly results to SEBI.
- Prohibited from trading on client-related unpublished price-sensitive information.
- Appoint a **Compliance Officer**.
- SEBI can inspect records and suspend/cancel registration for violations.

- Registration is valid for **3 years**.
- SEBI charges initial, annual, and renewal fees.
- **Lead Managers (Category I)** must accept a minimum underwriting of **5% or ₹25 lakhs**, whichever is less.

Lead Manager Requirement Based on Issue Size:

- Up to ₹50 crores: Max 2
- ₹50–100 crores: 3
- ₹100–200 crores: 4
- ₹200–400 crores: 5
- Above ₹400 crores: 5 or more as agreed by SEBI *(Note: Max limit was removed via 2006 amendment.)*

Exemption from RBI Regulations
Merchant banking companies are exempted from various RBI regulations (e.g., registration under Section 45 IA, liquid assets, reserve fund) **if**:

1. They are registered with SEBI under Section 12 of SEBI Act, 1992.
2. Engage only in merchant banking activities.
3. Do not accept or hold public deposits.

Operational Guidelines

1. Submission of Offer Document

- Offer documents for issues up to ₹20 crores are submitted to the SEBI regional office where the issuer's registered office is located.
- 10 copies to SEBI, 25 to stock exchanges, and draft documents must be made public.
- Documents must also be submitted digitally (HTML format).
- Additional info required in the forwarding letter:
  - Registration number, renewal/expiry dates
  - SEBI communications/investigations
  - Promoter/associate companies' SEBI registrations
  - Fees paid, penalties imposed, and outstanding dues (if any)

2. Dispatch of Issue Material

- For NRI reservations: Send 10 prospectuses and 1,000 forms to the NRI Adviser in New Delhi before the issue opens.
- 20 copies to Investor Associations.
- Underwriting arrangements must ensure underwriters do not over-commit.
- OTC dealers treated at par with other brokers for underwriting.

3. Compliance Obligations

(a) Association of Resource Personnel

- In oversubscribed public issues, SEBI-nominated public representatives must be involved in the allotment process.
- Their expenses and honorarium (min ₹500/day) are paid by lead merchant bankers.

(b) Redressal of Investor Grievances

- Merchant bankers must prioritize grievance redressal, establish a monitoring system, and coordinate with issuers and registrars to resolve complaints.

(c) Submission of Post-Issue Monitoring Reports

- Reports must be submitted within 3 working days of due dates, to regional offices and SEBI HQ (Mumbai).

(d) Issue of No Objection Certificate (NOC)

- Issuer companies must deposit 1% of the issue amount with the regional stock exchange.
- NOC from SEBI required to release this deposit.
- Conditions for NOC:
  - 4 months must pass since listing permission.
  - All complaints must be resolved.
  - Certificate from exchange confirming payments (commissions, fees).
- If the issue fails and funds are refunded, NOC is not needed.

(e) Registration of Merchant Bankers

- Renewal application must follow **Regulation 9** of SEBI (Merchant Bankers) Rules, 1992.
- Application must include:
  - Statement of changes since previous registration
  - Declaration that no other changes occurred beyond those disclosed

Reforms for the Merchant Bankers

SEBI introduced several reforms for merchant bankers:

a. **Abolition of Multiple Categories**: All multiple categories of merchant bankers are abolished; now only one category—**equity merchant banker**—exists.
b. **Underwriting Permission**: Merchant bankers are permitted to engage in underwriting activities.
c. **Separate Registration for Portfolio Management**: To act as a **portfolio manager**, a separate SEBI registration is required.
d. **Restriction on NBFC Activities**: Merchant bankers are **not allowed** to perform functions like accepting deposits or financing businesses, as done by non-banking financial companies (NBFCs).
e. **Focus on Capital Markets**: They must **limit their operations to capital market activities only**.

Recognition by SEBI on Merchant Bankers

SEBI grants recognition to merchant bankers based on the following criteria:

- **Professional Competence**: Assessment of the merchant banker's professional capability.
- **Capital Adequacy**: Evaluation of whether adequate capital is maintained.
- **Reputation & Track Record**: Consideration of past experience, performance history, and reputation.
- **Quality of Staff & Infrastructure**: Evaluation of the qualifications of staff and the adequacy of available infrastructure.

Only after examining all these factors will SEBI **permit the merchant banker to commence operations**.

Conditions by SEBI for Merchant Bankers

SEBI has laid down specific operational conditions for merchant bankers:

1. **Validity of Authorization**: SEBI's authorization is valid for **3 years**. No operations can be carried out without this authorization.
2. **Minimum Net Worth**: Merchant bankers must maintain a **minimum net worth of ₹1 crore**.
3. **Fee Structure**: Payment of **authorization, annual, and renewal fees** is required.
4. **Mandatory Lead Manager**: Every share issue must be managed by at least **one SEBI-authorized lead manager**.
5. **Defined Responsibilities**: SEBI clearly specifies the responsibilities of the **lead manager**.
6. **Obligations of Lead Managers**: Lead managers are accountable for **security allotments, refunds**, and related processes.
7. **Reporting Requirements**: Merchant bankers must **submit returns and issue-related reports** to SEBI.
8. **Code of Conduct**: A **code of conduct** prescribed by SEBI must be followed.
9. **Penalties for Violation**: Any violation of these conditions may lead to **revocation of SEBI authorization**.

Functions of a Merchant Banker

- Corporate Counseling
- Project Counseling and Pre-Investment Studies
- Capital Restructuring
- Loan Syndication
- Project Appraisal, Approval and Finance
- Issue Management
- Underwriting
- Portfolio Management
- Working Capital Finance
- Acceptance Credit and Bill Discounting
- Mergers, Amalgamations and Takeovers
- Venture Capital Financing
- Lease Financing
- Fixed Deposit Broking

Registration of Merchant Banker

The Securities and Exchange Board of India (SEBI) grants a certificate of registration to merchant bankers upon fulfillment of specific conditions:

- Must be a body corporate (excluding NBFCs, with a specified exception).
- Must have a minimum net worth of ₹5 crore.
- Must maintain adequate infrastructure (office space, equipment, manpower).
- Must employ at least two experienced individuals.
- Must not have partners/directors/principal officers involved in litigation or convicted of serious offences.
- Should have professional qualifications in finance, law, or business.

- Must be a “fit and proper person” as per SEBI (Intermediaries) Regulations, 2004.

Eligibility Norms for Grant of Certificate of Registration of Merchant Banker

1. Applicant must be a body corporate.
2. Must have infrastructure (office space, equipment, manpower) to conduct operations effectively.
3. Must employ at least two persons with relevant experience in merchant banking.
4. Must fulfill minimum capital adequacy (net worth of ₹5 crore).
5. Applicant and key persons must not have:
    - Adverse litigation history in the securities market.
    - Convictions involving moral turpitude or economic offences.
6. Must have professional qualifications in finance, law, or business from a government-recognized institution.

Applicant Not Eligible for Grant of Certificate of Registration of Merchant Banker

- NBFCs (as defined under RBI Act, 1934) are ineligible unless registered by RBI as a primary or satellite dealer, **without accepting/holding public deposits**.
- Any person directly/indirectly connected to an applicant previously rejected by SEBI.

Fit and Proper Criteria

To be granted registration, the applicant and key management must be a “fit and proper person,” which includes:

- Integrity, reputation, and character.
- Absence of convictions/restraint orders.
- Competence, including financial solvency and net worth.

SEBI also holds the discretion to consider other relevant factors during assessment.

Process for Grant of Certificate of Registration

- Application must be made to SEBI in **Form A** (only for Category I Merchant Banker).
- Separate registration required under SEBI (Portfolio Manager) Regulations, 1993 for portfolio management activities.
- Application fee: ₹50,000 (non-refundable), paid via electronic transfer or demand draft.
- SEBI may ask for additional information/clarifications.
- Personal appearance of key individuals may be required.
- On satisfaction, SEBI issues certificate in **Form B** and notifies the applicant.
- Merchant banker must pay applicable registration fee post-approval.

Consequences Where Certificate of Registration of Merchant Banker is Not Granted

- SEBI may reject the application if criteria are not met, after giving an opportunity to be heard.
- Grounds for rejection are to be communicated within 30 days.
- Applicant can request reconsideration within 30 days of receiving the rejection.
- SEBI will review and respond in writing with its decision.

Payment of Fees by Merchant Banker

1. **At time of registration**: ₹20 lakh.
2. **Subsequent renewal fee**: ₹9 lakh every 3 years from:
    - Date of original registration, or
    - Date of renewal under amended regulations.

Time Limit for Payment of Fees

1. Registration fee: To be paid within 15 days from receipt of intimation from SEBI.
2. Renewal fee: To be paid within 3 months before expiry of the current block.

Consequences of Non-Payment of Fees

If fees are not paid, SEBI may suspend the certificate, and the merchant banker must cease all operations during suspension.

Validity of Certificate of Registration

The certificate remains valid unless **suspended or cancelled** by SEBI.

Obligations of Merchant Bankers (including Lead Managers)

Obligation #1: Exclusive Business Focus

- Merchant bankers (excluding banks or public financial institutions) must engage **only in securities market activities** after June 30, 1998.
- Existing non-securities contracts can be fulfilled.
- RBI-approved primary or satellite dealers may conduct permitted businesses.

Obligation #2: Maintenance of Books and Records

- Must maintain:
    1. Balance sheet
    2. Profit and loss account
    3. Auditor's report
    4. Statement of financial position
- Notify SEBI of the storage location.
- Submit these documents for the past five years when required by SEBI.

Obligation #3: Submission of Half-Yearly Results

- Must provide **unaudited half-yearly financial results** when required by SEBI to monitor capital adequacy.

Obligation #4: Action on Auditor's Report

- Rectify any deficiencies in the auditor's report within **two months** of the report date.

Obligation #5: Appointment of Lead Merchant Bankers

- All issues must be managed by at least **one lead merchant banker**.
- Not required for **rights issues under ₹50 lakhs**.
- Must enter into a written agreement with the issuer defining roles, especially in disclosures, allotment, and refund.

Obligation #6: Limit on Number of Lead Managers

- Number of lead managers allowed depends on issue size:
    a. < ₹50 crores: 1
    b. ₹50–100 crores: up to 2
    c. ₹100–200 crores: up to 3
    d. ₹200–400 crores: up to 4
    e. ₹400 crores: as approved by SEBI

Obligation #7: Defined Responsibilities

- Responsibilities must be:
    - **Clearly defined, allocated, and reported to SEBI** at least one month before the issue opens.
- Multiple lead managers must **demarcate duties** and report them to SEBI.
- Cannot manage issues of associated companies.

Obligation #8: No Association with Unregistered Bankers

- Cannot be associated with any issue that includes an **unregistered merchant banker**.

Obligation #9: Underwriting Obligations

- Must underwrite at least **5%** of the issue or ₹25 lakhs (whichever is less).
- If not possible, must arrange for another merchant banker to do so and inform SEBI.

Obligation #10: Due Diligence Certificate

- Must submit **Form C due diligence certificate** to SEBI **at least two weeks before** the issue opens.

Obligation #11: Document Submission to SEBI

- Must furnish:
    1. Particulars of the issue
    2. Draft prospectus or letter of offer
    3. Investor literature
    4. Any related documents

- Submit these **at least two weeks before** filing with ROC or stock exchanges.
- Must incorporate SEBI's suggestions.

Obligation #12: Continued Association

- Must remain associated with the issue until **allotment and refunds are completed**.
- If another party handles refunds or allotment, the lead manager remains **accountable**.

Obligation #13: Insider Trading Prohibited

- Cannot deal in securities using **unpublished price-sensitive information** acquired during assignments.

Obligation #14: Transaction Reporting

- Must report any acquisition of securities in managed issues to SEBI **within 15 days** of the transaction.

Obligation #15: Disclosures to SEBI

Merchant bankers must disclose:

1. Responsibilities in issue management
2. Changes affecting registration
3. Names of managed corporate issues
4. Breaches of capital adequacy
5. Activities as manager, underwriter, consultant, or adviser

Regulations on Continuance of Association of Lead Manager with an Issue

1. Role of Lead Manager

- The **lead manager** (also known as lead merchant banker) plays a crucial role in **coordinating and managing public issues** (e.g., IPOs, rights issues).
- Responsible for ensuring **compliance with SEBI regulations**, guiding the issuer, and overseeing the **pre-issue and post-issue process**.

2. Minimum Association Period

- SEBI mandates that the lead manager **must continue to be associated with the issue until completion of all formalities**:
  - **Listing of securities** on stock exchanges.
  - **Refund of application money**, if applicable.
  - **Dispatch of share certificates or credit of shares in demat accounts**.
  - **Redressal of investor grievances** related to the issue.

3. Post-Issue Obligations

- The lead manager must **submit post-issue monitoring reports** to SEBI within prescribed timelines (typically within 3 working days of due dates).

- Required to **coordinate with the issuer, registrar, and stock exchanges** for finalization of allotment and resolution of complaints.

4. Grievance Redressal Responsibility

- Even after the issue is closed, the lead manager remains responsible for **handling and resolving investor complaints** until SEBI is satisfied that the issue process is complete and clean.

5. SEBI Monitoring and NOC

- The lead manager must assist the issuer in obtaining **No Objection Certificate (NOC) from SEBI** for the release of 1% security deposit, which is:
  - Contingent upon the **resolution of all investor complaints**.
  - Requires **confirmation of listing** and payment of issue-related dues (commissions, fees, etc.).

6. Discontinuance Before Completion – Not Permitted

- A lead manager **cannot withdraw from the issue mid-way** unless under exceptional circumstances approved by SEBI.
- This ensures continuity, accountability, and **smooth closure of the issue** process.

Recent Developments and Challenges of Investment Banking

This document provides an overview of the recent developments and challenges facing the investment banking industry. It explores the impact of technological advancements, regulatory changes, and macroeconomic factors on the industry's landscape. Furthermore, it examines the key challenges that investment banks are grappling with, including increased competition, declining profitability, and the need to adapt to evolving client demands.

Recent Developments in Investment Banking

The investment banking industry has undergone significant transformation in recent years, driven by several key developments:

1. Technological Advancements: Technology has revolutionized various aspects of investment banking operations.

- **Algorithmic Trading:** High-frequency trading and algorithmic trading have become increasingly prevalent, enabling faster and more efficient execution of trades.
- **Data Analytics:** Investment banks are leveraging data analytics to gain insights into market trends, assess risks, and make informed investment decisions.
- **Fintech Disruption:** Fintech companies are disrupting traditional investment banking services by offering innovative solutions such as online investment platforms and robo-advisors.
- **Cloud Computing:** Cloud computing enables investment banks to store and process large amounts of data more efficiently and cost-effectively.

2. Regulatory Changes: Regulatory reforms implemented in the aftermath of the 2008 financial crisis have had a profound impact on the investment banking industry.

- **Dodd-Frank Act:** The Dodd-Frank Act in the United States introduced stricter regulations on financial institutions, including investment banks, to enhance financial stability and protect consumers.
- **Basel III:** Basel III is a set of international banking regulations that aim to strengthen banks' capital adequacy, risk management, and liquidity.
- **MiFID II:** The Markets in Financial Instruments Directive II (MiFID II) in Europe introduced new rules on transparency, investor protection, and market structure.

3. Macroeconomic Factors: Macroeconomic conditions play a crucial role in shaping the investment banking landscape.

- **Interest Rate Environment:** Changes in interest rates can affect the profitability of investment banks' lending and trading activities.
- **Economic Growth:** Economic growth drives corporate activity, leading to increased demand for investment banking services such as mergers and acquisitions (M&A) and initial public offerings (IPOs).
- **Geopolitical Risks:** Geopolitical events, such as trade wars and political instability, can create uncertainty in financial markets and impact investment banking activity.

Challenges Facing Investment Banking

Despite the opportunities presented by recent developments, investment banks face several significant challenges:

1. Increased Competition: The investment banking industry has become increasingly competitive, with a growing number of players vying for market share.

- **Boutique Investment Banks:** Boutique investment banks, which specialize in specific industries or services, have gained prominence by offering tailored solutions and personalized attention to clients.
- **Private Equity Firms:** Private equity firms are increasingly competing with investment banks in M&A transactions, leveraging their deep pockets and industry expertise.
- **Technology Companies:** Technology companies are entering the financial services industry, offering innovative solutions that challenge traditional investment banking models.

2. Declining Profitability: Investment banks have faced declining profitability in recent years due to several factors.

- **Lower Trading Volumes:** Increased automation and regulatory scrutiny have led to lower trading volumes, reducing trading revenues for investment banks.
- **Compression of Fees:** Intense competition has put downward pressure on fees for investment banking services, squeezing profit margins.
- **Increased Compliance Costs:** Regulatory compliance costs have risen significantly, further impacting profitability.

3. Evolving Client Demands: Clients' expectations and demands are evolving, requiring investment banks to adapt their services and offerings.

- **Demand for Customized Solutions:** Clients are increasingly seeking customized solutions tailored to their specific needs and objectives.
- **Focus on ESG Factors:** Environmental, social, and governance (ESG) factors are becoming increasingly important to investors, requiring investment banks to integrate ESG considerations into their investment strategies.
- **Need for Digital Capabilities:** Clients expect investment banks to provide seamless digital experiences and access to real-time information.

4. Talent Management: Attracting and retaining top talent is a critical challenge for investment banks.

- **Competition for Talent:** Investment banks face intense competition for talent from other financial institutions, technology companies, and consulting firms.
- **Changing Employee Expectations:** Younger generations of employees have different expectations regarding work-life balance, career development, and company culture.
- **Need for Diversity and Inclusion:** Investment banks are under pressure to improve diversity and inclusion in their workforce.

5. Risk Management: Effective risk management is essential for investment banks to mitigate potential losses and maintain financial stability.

- **Cybersecurity Risks:** Investment banks are increasingly vulnerable to cyberattacks, which can result in financial losses, reputational damage, and regulatory penalties.
- **Market Risks:** Investment banks are exposed to market risks, such as interest rate risk, credit risk, and equity risk, which can impact their profitability.
- **Operational Risks:** Operational risks, such as fraud, errors, and system failures, can also lead to financial losses and reputational damage.

The investment banking industry is undergoing a period of rapid change, driven by technological advancements, regulatory reforms, and macroeconomic factors. While these developments present opportunities for growth and innovation, investment banks also face significant challenges, including increased competition, declining profitability, evolving client demands, talent management, and risk management. To succeed in this dynamic environment, investment banks must adapt their business models, embrace technology, and prioritize client needs. They must also strengthen their risk management capabilities and foster a culture of innovation and collaboration. By addressing these challenges effectively, investment banks can position themselves for long-term success in the evolving financial landscape.